

Economic activity in the manufacturing sector grew in January, with the overall economy notching an eighth consecutive month of growth, say the nation's supply executives in the latest Manufacturing ISM® *Report On Business*®.

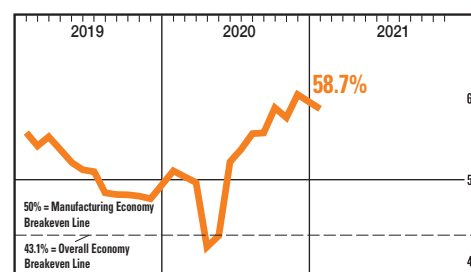
The January Manufacturing PMI® registered 58.7 percent. The New Orders Index registered 61.1 percent, down 6.4 percentage points from the seasonally adjusted December reading of 67.5 percent. The Production Index registered 60.7 percent, a decrease of 4 percentage points compared to the seasonally adjusted December reading of 64.7 percent. The Backlog of Orders Index registered 59.7 percent, 0.6 percentage point above the December reading of 59.1 percent. The Employment Index registered 52.6 percent, 0.9 percentage point higher from the seasonally adjusted December reading of 51.7 percent. The Supplier Deliveries Index registered 68.2 percent, up 0.5 percentage point from the December figure of 67.7 percent. Of the 18 manufacturing industries, 16 reported growth in January, in the following order: Electrical Equipment, Appliances & Components; Machinery; Primary Metals; Chemical Products; Fabricated Metal Products; Plastics & Rubber Products; Transportation Equipment; Apparel, Leather & Allied Products; Paper Products; Wood Products; Food, Beverage & Tobacco Products; Nonmetallic Mineral Products; Furniture & Related Products; Miscellaneous Manufacturing*[‡]; Textile Mills; and Computer & Electronic Products. **ISM**

[‡]**Miscellaneous Manufacturing** (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



MANUFACTURING PMI® at 58.7%

Manufacturing grew in January, as the Manufacturing PMI® registered 58.7 percent, 1.8 percentage points lower than the seasonally adjusted December reading of 60.5 percent. The Manufacturing PMI® continued its expansion signifying growth in economic activity in January, with all five contributing subindexes in growth territory, but at lower rates compared to December. Five of six of the biggest manufacturing industries — Chemical Products; Fabricated Metal Products; Transportation Equipment; Food, Beverage & Tobacco Products; and Computer & Electronic Products — expanded.



Manufacturing at a Glance

INDEX	Jan Index	Dec Index	% Point Change	Direction	Rate of Change	Trend* (months)
Manufacturing PMI®	58.7	60.5	-1.8	Growing	Slower	8
New Orders	61.1	67.5	-6.4	Growing	Slower	8
Production	60.7	64.7	-4.0	Growing	Slower	8
Employment	52.6	51.7	+0.9	Growing	Faster	2
Supplier Deliveries	68.2	67.7	+0.5	Slowing	Faster	59
Inventories	50.8	51.0	-0.2	Growing	Slower	4
Customers' Inventories	33.1	37.9	-4.8	Too Low	Faster	54
Prices	82.1	77.6	+4.5	Increasing	Faster	8
Backlog of Orders	59.7	59.1	+0.6	Growing	Faster	7
New Export Orders	54.9	57.5	-2.6	Growing	Slower	7
Imports	56.8	54.6	+2.2	Growing	Faster	7
Overall Economy				Growing	Slower	8
Manufacturing Sector				Growing	Slower	8

*Number of months moving in current direction.
 Manufacturing ISM® *Report On Business*® data is seasonally adjusted for the New Orders, Production, Employment and Inventories indexes.

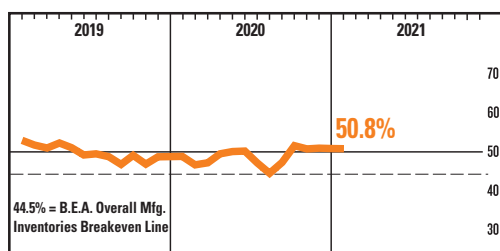
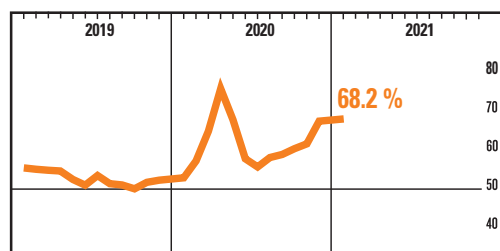
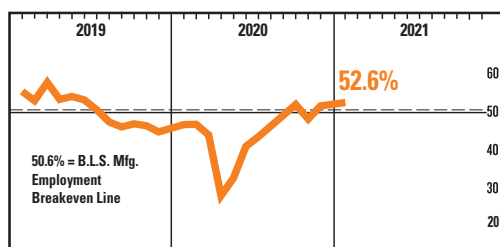
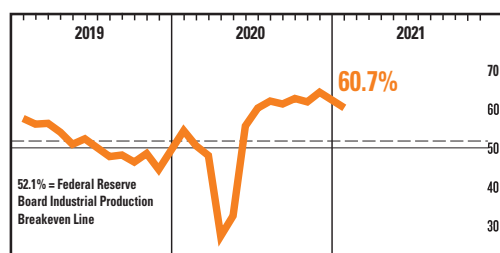
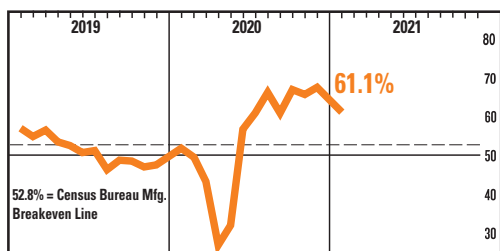


Commodities Reported

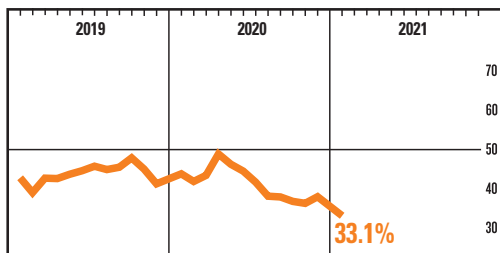
Note: The number of consecutive months the commodity is listed is indicated after each item.

Commodities Up in Price: Acrylonitrile Butadiene Styrene (ABS) Plastic; Aluminum (8); Ammonia; Brass Products (3); Calcium Carbonate; Copper (8); Corn; Corrugate (4); Corrugated Boxes (3); Crude Oil (2); Diesel; Electrical Components (2); Electronic Components (2); Ethylene; Freight (3); High-Density Polyethylene (HDPE); Isocyanates (2); Liquid-Crystal Display (LCD); Linear Low-Density Polyethylene (LLDPE) Resins; Lumber (7); Memory; Natural Gas; Nylon Fiber; Ocean Freight (2); Oil-Based Lubricants (2); Packaging Supplies (2); Paper Products (2); Personal Protective Equipment (PPE) — Gloves (2); Plastic Resins (5); Plating Services; Precious Metals; Propylene; Polypropylene (7); Polyols; Polyvinyl Chloride (4); Printed Circuit Boards; Soybean Products (4); Steel (6); Steel — Galvanized; Steel — High Carbon (2); Steel — Cold Rolled (5); Steel — Hot Rolled (5); Steel Products (5); Steel — Scrap (2); Steel — Stainless (3); Sulfuric Acid; and Wood — Pallets (2).

Commodities Down in Price: Caustic Soda. **Commodities in Short Supply:** Copper; Corrugate; Corrugated Boxes (3); Electrical Components (4); Electronic Components (2); Freight — Road; Personal Protective Equipment (PPE) — Gloves (11); Semiconductors (2); Steel (2); Steel — Cold Rolled; Steel — Fabricated; and Steel — Hot Rolled (3).

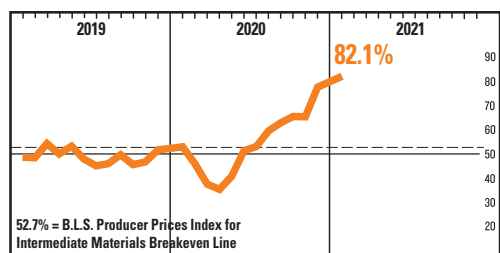


‡Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



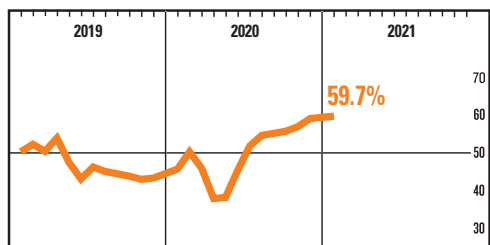
Customers' Inventories

ISM's Customers' Inventories Index registered 33.1 percent. Of the 18 industries, the only one reporting higher customers' inventories in January is Printing & Related Support Activities.



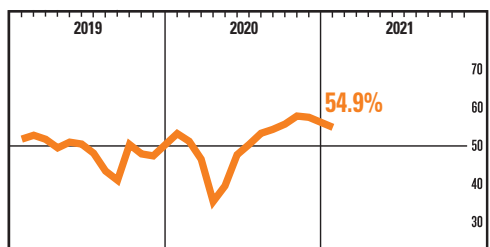
Prices

The ISM Prices Index registered 82.1 percent. All 18 industries reported paying increased prices for raw materials in January, in the following order: Apparel, Leather & Allied Products; Paper Products; Wood Products; Fabricated Metal Products; Furniture & Related Products; Plastics & Rubber Products; Primary Metals; Electrical Equipment, Appliances & Components; Machinery; Textile Mills; Nonmetallic Mineral Products; Chemical Products; Petroleum & Coal Products; Computer & Electronic Products; Miscellaneous Manufacturing†; Transportation Equipment; Food, Beverage & Tobacco Products; and Printing & Related Support Activities.



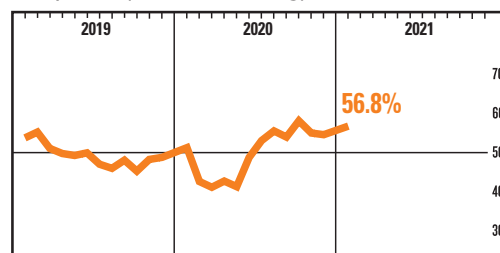
Backlog of Orders

ISM's Backlog of Orders Index registered 59.7 percent. The 12 industries reporting growth in order backlogs in January, in the following order, are: Transportation Equipment; Primary Metals; Wood Products; Paper Products; Electrical Equipment, Appliances & Components; Machinery; Fabricated Metal Products; Nonmetallic Mineral Products; Miscellaneous Manufacturing†; Computer & Electronic Products; Chemical Products; and Plastics & Rubber Products.



New Export Orders

ISM's New Export Orders Index registered 54.9 percent. The 10 industries reporting growth in new export orders in January — in the following order — are: Plastics & Rubber Products; Primary Metals; Fabricated Metal Products; Machinery; Electrical Equipment, Appliances & Components; Transportation Equipment; Computer & Electronic Products; Chemical Products; Miscellaneous Manufacturing†; and Food, Beverage & Tobacco Products.



Imports

ISM's Imports Index registered 56.8 percent. The 11 industries reporting growth in imports in January — in the following order — are: Wood Products; Primary Metals; Textile Mills; Machinery; Transportation Equipment; Nonmetallic Mineral Products; Fabricated Metal Products; Chemical Products; Food, Beverage & Tobacco Products; Computer & Electronic Products; and Electrical Equipment, Appliances & Components.

†Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).